July 2026 Logistics Managers' Index

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July 2026 Logistics Manager’s Index Report®

LMI® at 68.9

Growth is INCREASING AT AN INCREASING RATE for: Inventory Costs and Warehousing Prices
Growth is INCREASING AT A DECREASING RATE for: Inventory Levels, Warehousing Utilization, Transportation Utilization, and Transportation Prices
Warehousing Capacity and Transportation Capacity are CONTRACTING

(Fort Collins, CO) —The July Logistics Manager’s Index reads in at 68.9, down (-2.2) from June’s reading of 71.1, which had been the fastest rate of expansion since March 2022. While this is a moderate rate of expansion relative to the last few months, July’s 68.9 is higher than any readings made at any point from 2023-2025. The slowdown in expansion stems slower growth in Inventory Levels (-5.5 to 55.0), which had seen a spike last year as respondents pulled inventory forward ahead of anticipated tariff increases in July. The difference is particularly pronounced for Downstream retailers, who went from robust Inventory Level expansion at 66.0 last month to contraction at 46.3. This dramatic shift may signify that the inventories that were pulled forward ahead of the holiday season are currently sitting Upstream at the wholesale level. Despite the slowdown in Inventory Levels, Inventory Costs continue to expand (+1.1) to 77.0 – outstripping levels by 22.0 points and demonstrating the ongoing increases in the relative costs of inventories due to tariffs and war.

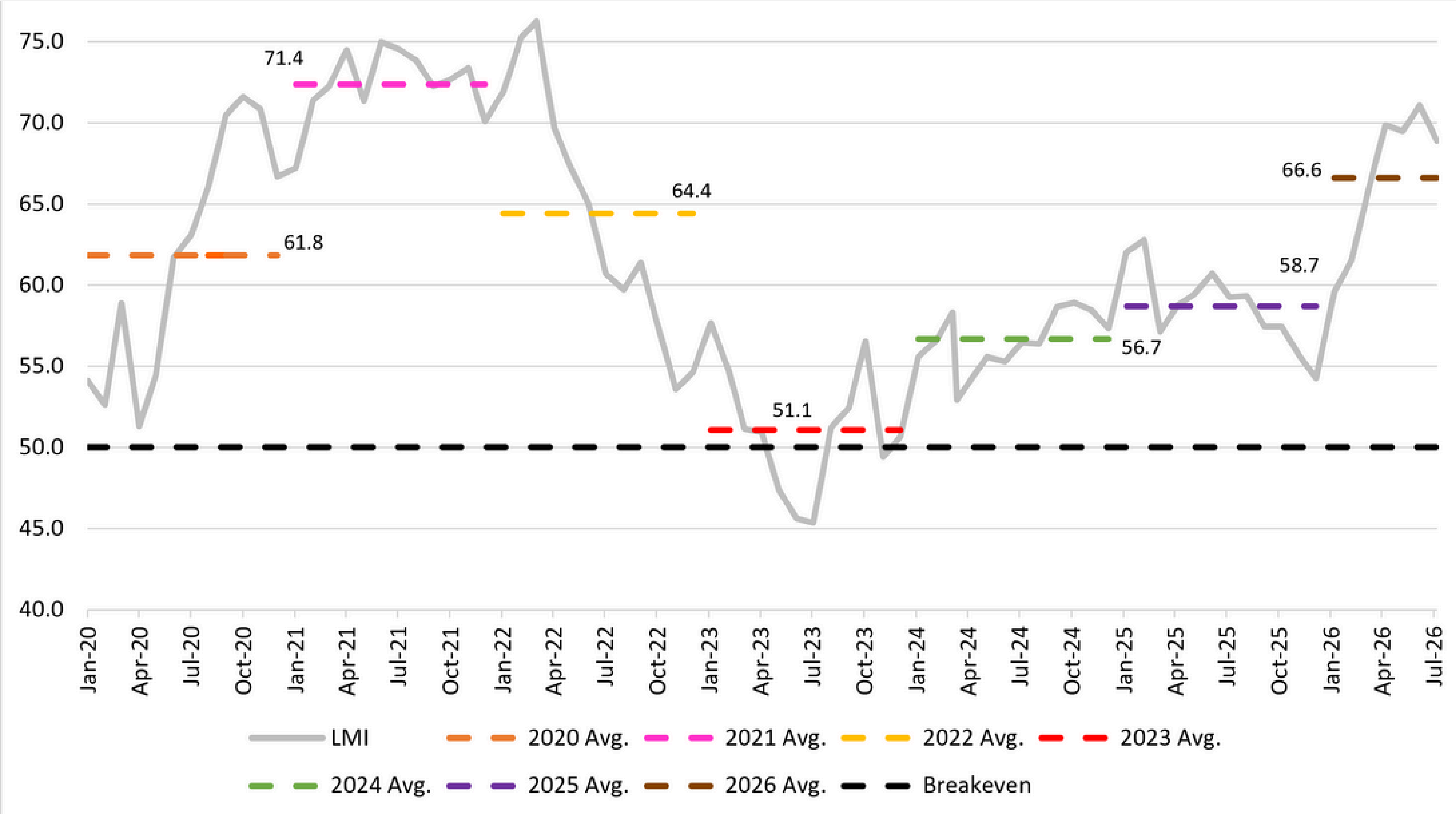
73.3, which is the fastest rate of expansion for this metric since January of 2025 in the initial rush of imports ahead of the anticipated tariff regime of the incoming second Trump administration. The Transportation Capacity reading is especially low, tying with the capacity reading from April of this year as the second-fastest level of contraction ever observed for any metric in the history of the index (slower only than September 2020's Transportation Capacity reading of 23.8). Despite this tightness, Transportation Price expansion has slowed (-5.5) to the still-high level of 86.9, which is the lowest reading for this metric since the outbreak of hostilities with Iran in late February. Transportation Utilization expansion has slowed as well, dipping 9.7 points from June's reading of 74.7 (which is the second-highest rate of expansion in the history of that metric).

University, Colorado State University, Florida Atlantic University, Rutgers University, and the University of Nevada, Reno, and in conjunction with the Council of Supply Chain Management Professionals (CSCMP) issued this report today.

Results Overview
The LMI score is a combination of eight unique components that make up the logistics industry, including: Inventory Levels and Costs, Warehousing Capacity, Utilization, and Prices, and Transportation Capacity, Utilization, and Prices. The LMI is calculated using a diffusion index, in which any reading above 50.0 indicates that logistics is expanding; a reading below 50.0 is indicative of a shrinking logistics industry. The latest results of the LMI summarize the responses of supply chain professionals collected in July 2026.

The July LMI read in at 68.9, which is down (-2.2) from June's reading of 71.1, which was the fastest rate of expansion since March of 2022. This month's reading is well above the all-time average of 61.7. Expansion in

The figure below shows movements in the overall LMI from 2020 to 2026. The gray line represents monthly readings in the index and the various dashed colored lines represent the average overall reading from each respective year. As is demonstrated below, the average expansion in 2026 (brown line) is second only to the post-pandemic expansion in 2021 (pink line). As was the case in 2021, the 2026 expansion is primarily driven by cost growth. It is worth noting that June 2026's four-year high reading of 71.1 is below 2021's annual average of 71.4, so we are not seeing the same level of expansion that eventually led to inflation and the dropoff in logistics activity from mid-2022 to mid-2024. The traditional peak season is still to come this year, so it will be interesting to observe whether activity slows at all, holds steady, or continues to increase, in the last five months of 2026.



It is difficult to predict where the logistics industry is going due to continued uncertainty in the overall economy. U.S. consumer sentiment was up (+11.5%) to 55.2 in July, marking its highest reading in the University of Michigan survey since February of this year. This shift was led by improving perceptions of consumer buying conditions and price pressures. That being said, the overall sentiment is still 10.5% down conditions. Survey respondents anecdotally cited the cost of groceries, fuel, and ongoing international conflicts as continuing concerns[2]. This sentiment seems to be backed up by falling grocery sales, which are down 1.8% year-over-year, leading some major brands and retailers to offer more discounts to offset the 33% price growth the sector has seen since 2019[3]. In addition to seeking deals, some consumers report cutting back on grocery volumes – something that could have an impact on the dry van and refer trucking markets. The continued increase in prices was felt at the Fed meeting at the end of July. The board ultimately chose to keep rates steady, however three board members voted to increase rates due to inflation. The Cleveland and Minneapolis Fed Presidents, who were among the dissenters, released statements on the last day of July stating that they are concerned that the pressures stemming from tariffs and the conflict in Iran is likely to continue pushing inflation above the Fed's 2% target unless some policy actions are taken[4]. Fed funds future trades seem to agree with them, with trading now suggesting a 57% likelihood that there will be a quarter-point increase at the September meeting[5]. There is movement in the bond market as well, with 30-year U.S. treasuries increasing to their highest levels since 2007 due to concerns that the Fed may not act quickly enough to curtail more potential inflation[6].

Another issue that continues to weigh on consumers and the freight market is housing. Long-term U.S. mortgage rates rose to (the a slightly ominous) 6.66% which is the highest level in a year[7]. While some seasonality is likely to be at play here, the continued sluggishness of the housing market may be acting as a headwind to Upstream freight volumes. Residential construction and the related freight volumes likely won't be helped by the newly proposed tariffs on Canadian lumber and cement[8].

In last month's report, we speculated that retailers may have been pulling goods forward in June to stay ahead of potential tariff increases in July. These concerns seem to have borne out with the U.S. announcing

Section 338 of the Trade Act. This class of tariffs is relatively untested and a divergence from the Section 301 that had been anticipated and legal scholars believe there is a significant chance they could eventually be overturned in court[9]. These tariffs will likely hurt U.S. exports as well as they are expected to shave two to three tenths of a percent off of the GDP of our second largest trade partner[10]. The pull-forward of inventories appears to have been a significant factor in the U.S.'s lower-than-expected 1.5% GDP expansion in the second quarter. Net exports and changes in private inventories reduced GDP growth by over 1.68% on the quarter[11]. The rush in imports has also been a boon for airfreight with spot rates for cargo moving from Asia to North America up 39% year-over-year. Much of this is driven by tech-industry imports, including components needed for the continuing construction of data centers[12].

Despite the pull-forward reported above and observed by this index in Q2, we observed slower (-5.5) expansion of 55.0 in Inventory Levels in July. This slowdown in expansion was largely driven by Downstream retailers, who went from robustly expanding Inventory Levels at 66.0 in June to contraction at 46.3 in July. Conversely, Upstream firms have been remarkably consistent, reporting Inventory Levels expansion of 59.1 in June and 59.0 in July. This seems to support the hypothesis laid out last month that some of the surge in imports was due to retailers rushing some goods imports ahead of new potential tariffs. It is not clear if there will be a repeat of what we saw last year where the bulk of this inventory was held Upstream at the wholesale level and then only pulled down right before the holiday shopping season. In 2025 this division of inventories partly manifested with smaller firms holding more goods. This does not seem to be the case at this point in 2026, as both smaller and larger firms reported the exact same level of modest Inventory Levels expansion at 55.0.

Despite the slowdown in Inventory Levels, the associated Inventory Costs continue to expand (+1.1) at the month. This was largely driven by a 0.9% increase in the cost of goods from China – their largest jump in over 18 years. Overall, import prices are up 7.1% over the last year, which is similar to the increases during the inflationary period of 2022[13] (Cox, 2026a). The cost of inventories seems to be more pronounced Upstream. The PPI (5.5% year over year) continues to outpace the CPI (3.5% over year). At the same time personal consumption expenditures (PCE) were down 0.1% in June to 3.3% inflation year-over-year. This difference partly highlights the increased exposure that wholesalers have to shifts in energy costs relative to consumers. This is particularly difficult for smaller, low margin businesses that might struggle to not pass increases to their customers[14]. The Atlanta Fed believes that consumer prices may continue to be a struggle, as their “sticky-price consumer price index”, which measures expectations for inflation over the next two or more years, reads in at 2.8% - well above the Fed’s target of 2% flat[15].

Similar to what we saw for Inventory Levels, Upstream firms seem to be the primary drivers behind warehousing activity as well. Warehousing Capacity is down (-1.3) to 46.3, but that is primarily driven by Upstream respondents, who reported contraction at 42.4 while Downstream respondents reported mild expansion at 57.4. As might be expected given the tighter capacity, Upstream firms also reported significantly faster expansion for Warehousing Utilization (71.2 to almost no movement at 51.9 Downstream) and Warehousing Prices (78.8 to the still-robust 66.7 Downstream). This Upstream activity ensured that overall Warehousing Capacity is still expanding at 66.4 (-3.2) while Warehousing Prices (+1.8) came in at 75.5, which is the highest reading for that metric since February 2025 and the second highest since July of 2022 at the height of the post-covid inventory bullwhip. Taken together, these readings suggest that – much like what we observed last month – that the warehousing market is coming back strong in the summer of 2026.

The influx of materials needed to build datacenters is one of the factors behind an increase in warehousing

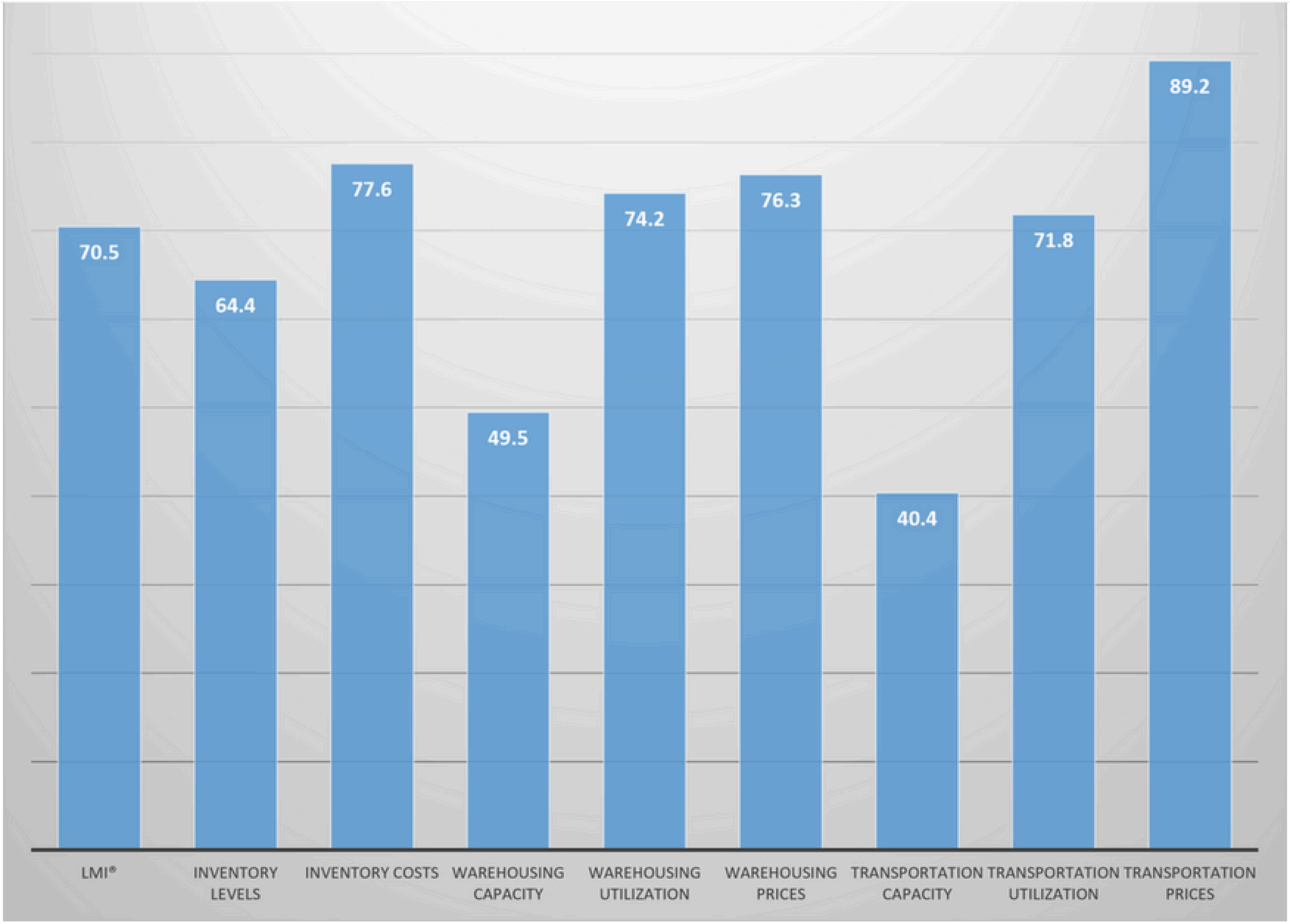
evidence that the expansion will continues throughout the year as Prologis recently stated plans for $4.5-$5.5 billion in developments in 2026 – up significantly from $3.1 billion in 2025. That being said, builders are being conscious not to overreact to current conditions in order to avoid the overbuilding that occurred during and immediately after the pandemic[16].
Respondents predict this Upstream/Downstream warehousing split to continue over the next 12 months. While both sides of the supply chain are predicting no movement in available Warehousing Capacity at 50.0, Upstream firms are expecting significantly faster rates of expansion for Warehousing Utilization (78.4 to 63.0) and Warehousing Prices (80.3 to 65.4). One caveat to this potential expansion is that the uncertainty regarding inflation is been increasing rates for business loans[17], which could slow the capital investment needed to increase fleets and warehousing capacity.

Transportation metrics continue to be the straw that stirs the drink for the LMI. Once again, the strongest expansion by far comes from Transportation Prices, which are down slightly (-5.5) to the still very robust expansionary rate of 86.9. Price expansion is prolific across supply chains, but is most driven by larger respondents, who reported expansion of 90.4 to 83.3 for smaller firms. Prices have clearly been impacted by the resumption of hostilities between the U.S. and Iran. Diesel prices read in at 5.313 per gallon in the final reading of July. This is up 51 cents since the last reading before fighting restarted in mid-July[18]. Prices are also compromised by stressed capacity. U.S. crude oil stocks excluding the Strategic Petroleum Reserve fell by a more than expected 7.2 million barrels at the end of July. Stocks of oil had only been expected to be down by 600,000 barrels over that period[19]. At the same time, U.S. strategic reserves are at their lowest level in 40 years. Similar movements are happening abroad as well as several countries have chosen to eat through their petroleum "savings" to ease consumer costs[20].

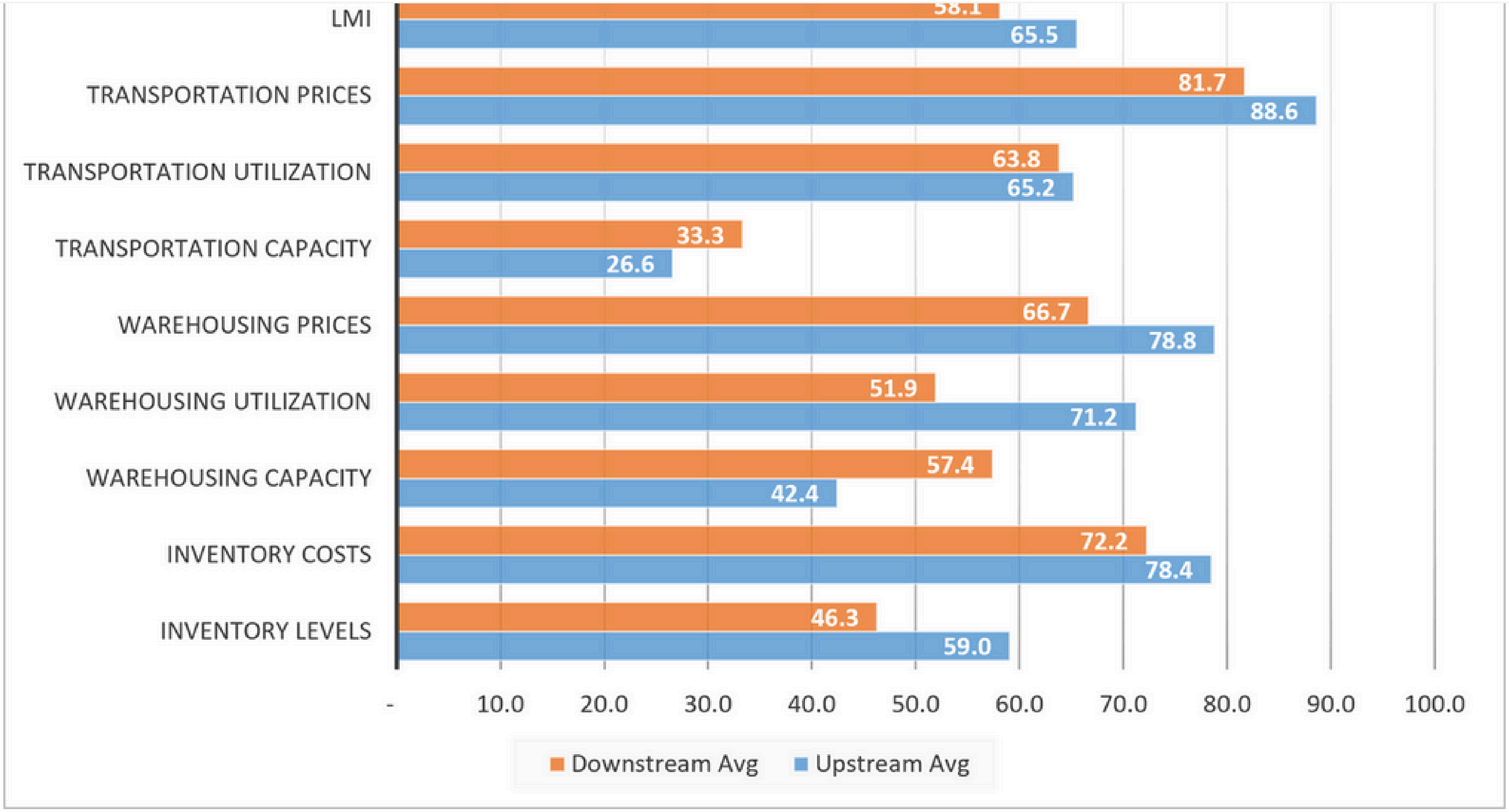
Intermodal is the driver here as volumes are up 3.7% on the year[22]. The domestic intermodal rush has come early this year, with summer intermodal volumes eclipsing 2025's fall peak season[23]. In spite of this increase, Canadian Pacific Kansas City reported a revenue increase of 13% in Q2, but still lower-than-expected profits in Q2[24]. In the merger that looms over the entire rail industry, Union Pacific and Norfolk Southern hope that they have assuaged the concerns of federal regulators with the additional information they provided in a new filing at the end of July. The filing promises improved service and price flexibility from what would be the U.S.'s first true coast-to-coast rail carrier[25].

Beyond increased demand, limited supply continues to play a role on prices, as Transportation Capacity is once again down (-2.4) to 28.4 – a reading that is tied with April as the second lowest reading for any metric in the nearly 10-year history of the LMI. The lack of available fleet capacity has caused the lead time for tender bookings to increase. In late July bookings were being made at an average of 3.74 days before the tender needs to move, up 11% from the same time last year[26]. Interestingly, the capacity crunch was tighter earlier in July, when the metric read in at 24.4 – which is a statistically significantly faster rate of contraction than the (still extreme) reading of 32.7 we saw later in the month. Transportation Utilization also shifted significantly over the course of July, moving from 68.8 in the first half of the month to 63.5 later on. The late dip was one of the primary drivers behind Transportation Utilization's 9.7-point slowdown to a still-robust 65.0. It is not surprising we saw a drop for this metric, as June's of 74.7 was the highest reading in the history of the Transportation Utilization metric.

Respondents were asked to predict movement in the overall LMI and individual metrics 12 months from now. Respondent predictions for the overall index are 70.5, which is largely consistent (-0.1) with June's future prediction of 70.6. Predictions among the sub-metrics was largely consistent month-to-month, with be driven by continued robust expansion in Inventory Levels (64.4 – driven more Upstream), and tightness in both Warehousing (49.5) and Transportation Capacity (40.4). Essentially, respondents are anticipating having to fit increasing inventories into tighter capacities at higher costs over the next 12 months.

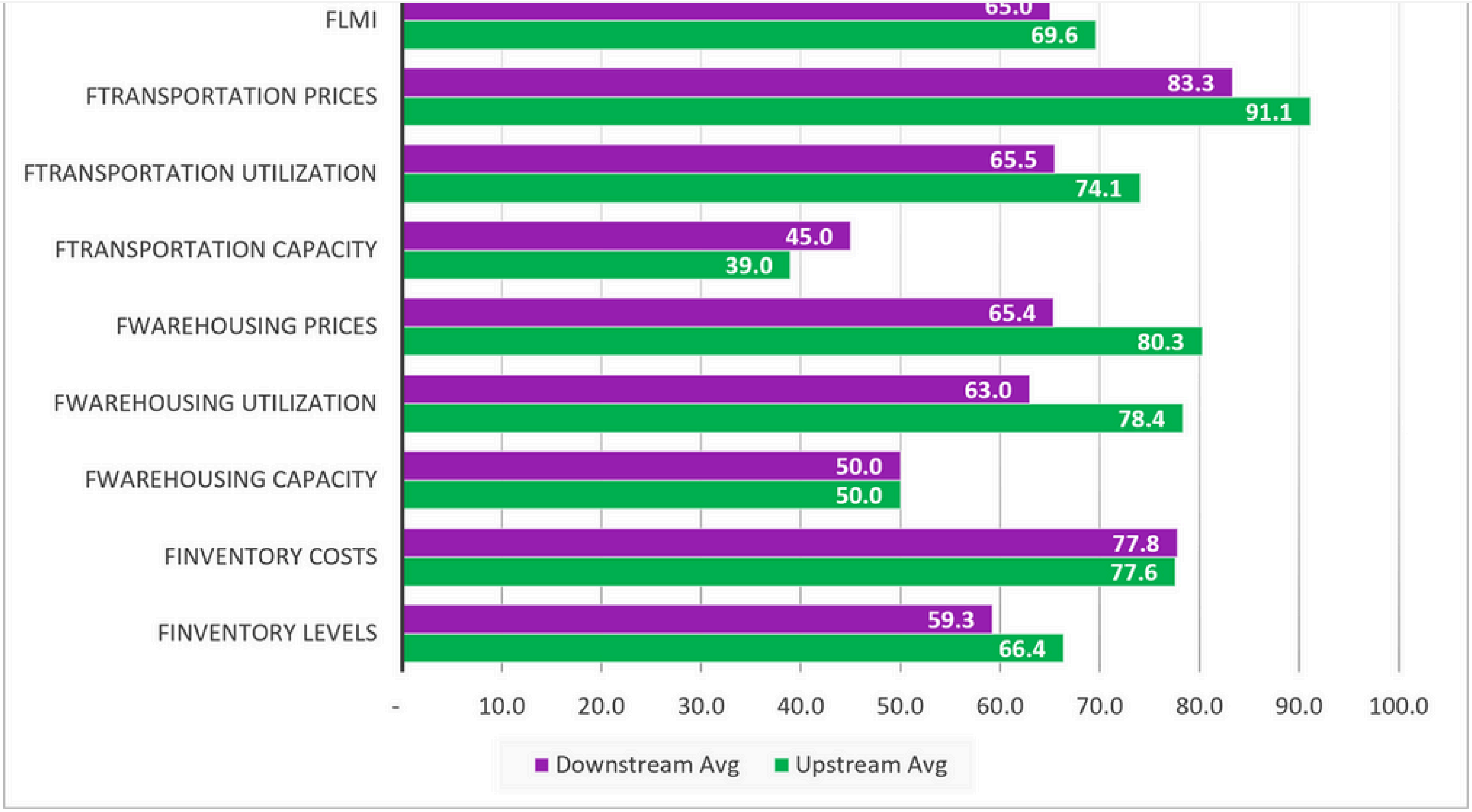

70.5
64.4
77.6
49.5
74.2
76.3
40.4
71.8
89.2
LMI®
INVENTORY LEVELS
INVENTORY COSTS
WAREHOUSING CAPACITY
WAREHOUSING UTILIZATION
WAREHOUSING PRICES
TRANSPORTATION CAPACITY
TRANSPORTATION UTILIZATION
TRANSPORTATION PRICES

significantly lower and are contracting (46.3) for Downstream firms than for their Upstream counterparts (59.0). The continued build of inventories Upstream is reflected across all three warehousing measures, with Upstream firms reporting contraction (42.4) to Downstream's expansion (57.4), as well as significantly faster rates of expansion in Warehousing Utilization (71.2 to almost no movement at 51.9) and Warehousing Prices (78.8 to 66.7). While the differences are not statistically significant across the transportation metrics, Upstream readings are more robust for all of those as well. These differences suggest that retailers are slowing down their inventory pull-ahead while wholesalers and manufacturers stay the course, continuing the “tortoise and the hare” dynamic we observed last month. As a result of this, Upstream firms are experiencing much tighter conditions in the availability and cost of physical logistics assets. It remains to be seen if this will result in a repeat of 2025, when inventory sat upstream through the later summer and fall, before dramatically shifting downstream in mid-October ahead of holiday spending.


LMI
58.1
65.5
TRANSPORTATION PRICES
81.7
88.6
TRANSPORTATION UTILIZATION
63.8
65.2
TRANSPORTATION CAPACITY
33.3
26.6
WAREHOUSING PRICES
66.7
78.8
WAREHOUSING UTILIZATION
51.9
71.2
WAREHOUSING CAPACITY
57.4
42.4
INVENTORY COSTS
72.2
78.4
INVENTORY LEVELS
46.3
59.0
- 10.0 20.0 30.0 40.0 50.0 60.0 70.0 80.0 90.0 100.0
Downstream Avg
Upstream Avg

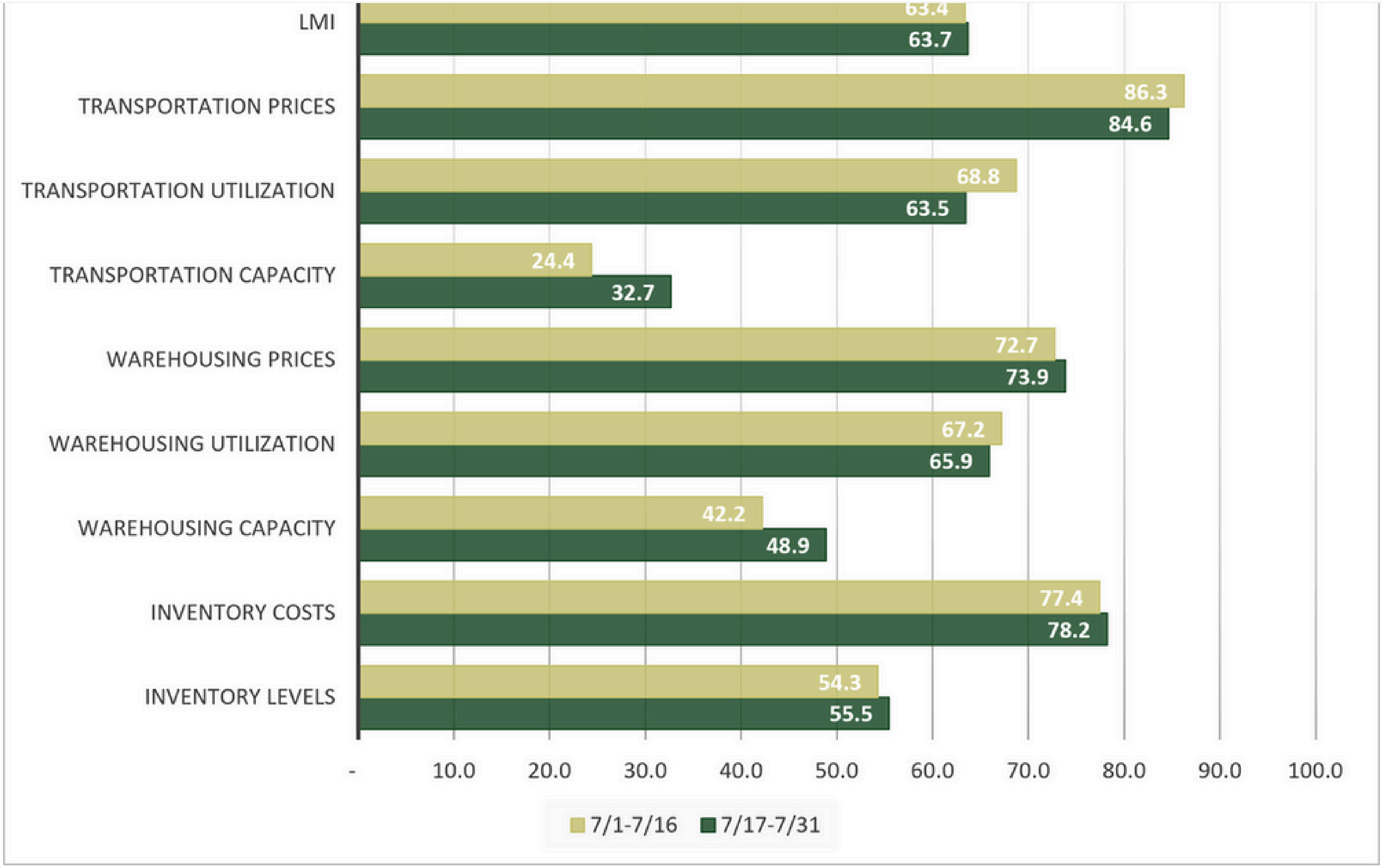
Delta	*12.7*	6.2	**15.0**	**19.3**	**12.1**	6.8	1.4	6.9	**7.4**
Significant?	*Marginal*	No	**Yes**	**Yes**	**Yes**	No	No	No	**Yes**

We also split future predictions by Downstream respondents (purple bars) and Upstream respondents (green bars). Interestingly, respondents are predicting fewer differences in the year ahead relative to what they are currently experiencing. While expectations for Inventory Level buildups are no longer significantly different (66.4 Upstream to 59.3 Downstream) we still observed marked differences in the future predictions for warehousing. Upstream firms predict significantly faster rates of expansion for both Warehousing Utilization (78.4 to 63.0) and Warehousing Prices (80.3 to 65.4). Both of the forecasted Upstream rates would represent significant expansion. However, it should be noted that the projected Downstream rates would represent robust expansion as well. The expected strength in these metrics is driven by the projection by both Upstream and Downstream respondents of no movement (50.0) in available Warehousing Capacity – which suggests that demand will continue to outstrip supply over the next year. The only other statistically significant difference we observe is in Transportation Prices, both groups expect them to expand quickly, but Upstream respondents predict them to move faster (91.1 to 83.3).


65.0
FLMI
69.6
FTRANSPORTATION PRICES
83.3
91.1
FTRANSPORTATION UTILIZATION
65.5
74.1
FTRANSPORTATION CAPACITY
45.0
39.0
FWAREHOUSING PRICES
65.4
80.3
FWAREHOUSING UTILIZATION
63.0
78.4
FWAREHOUSING CAPACITY
50.0
50.0
FINVENTORY COSTS
77.8
77.6
FINVENTORY LEVELS
59.3
66.4
-
10.0
20.0
30.0
40.0
50.0
60.0
70.0
80.0
90.0
100.0
Downstream Avg
Upstream Avg

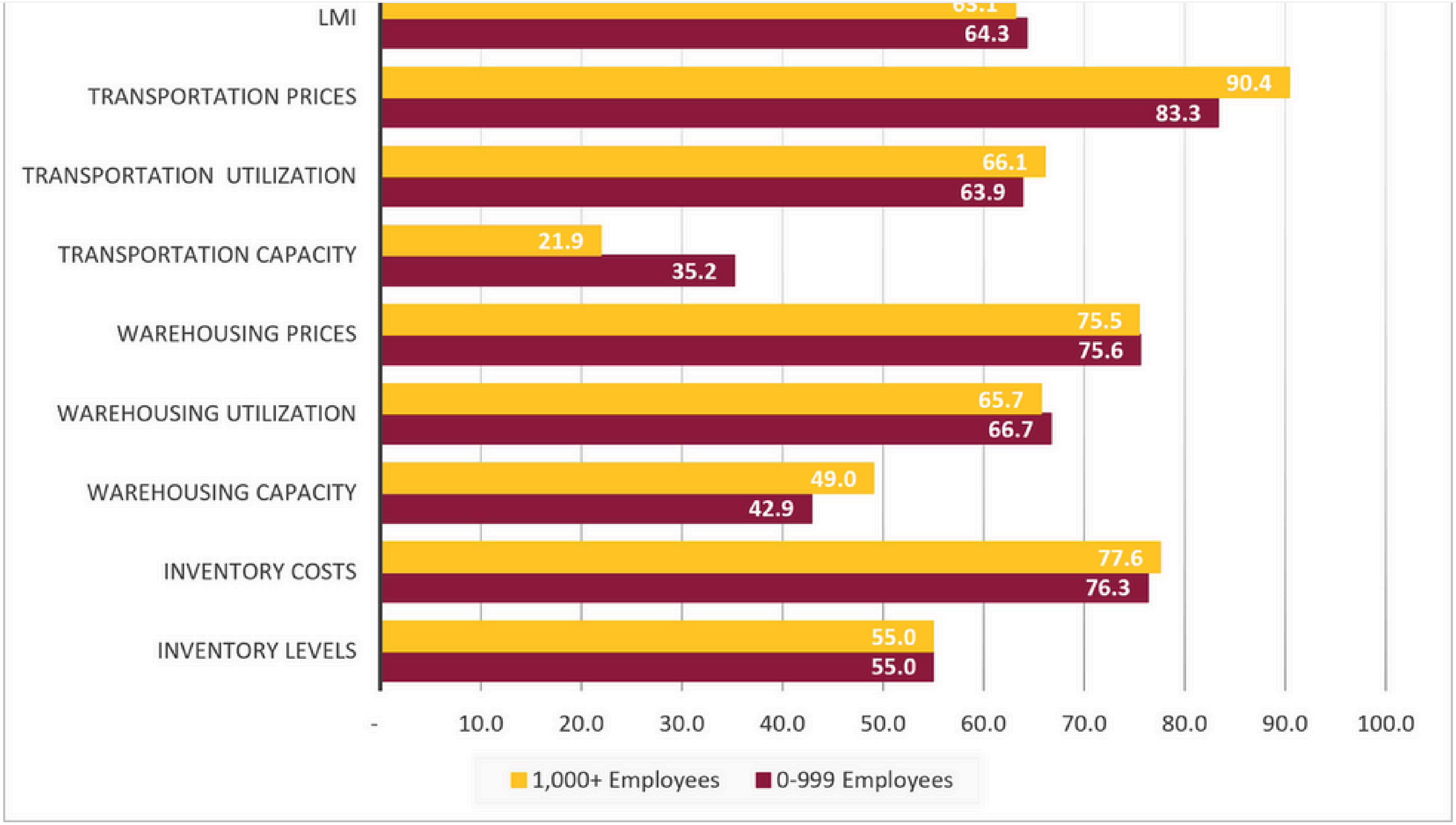
Delta	7.1	0.2	0.0	**15.4**	**14.9**	6.0	8.5	*7.8*	4.6
Significant?	No	No	No	**Yes**	**Yes**	No	No	*Marginal*	No

We also analyze any differences in responses collected in early (gold bars) versus late (green bars) July. The most significant difference is in Transportation Capacity, which contracted more slowly later in the month (32.7) than in the first half of July (24.4). This clearly impacted Transportation Utilization expansion, which was slower later (63.5) than earlier (68.8). The movements in Warehousing Capacity were not statistically significant, but we do observe slowing rates of contraction later (48.9) than earlier (42.2). The other five sub-metrics were much more consistent, with movements ranging between 0.8 to 1.6 points throughout the month, suggesting that logistics activity was relatively steady in July.


LMI
63.4
63.7
TRANSPORTATION PRICES
86.3
84.6
TRANSPORTATION UTILIZATION
68.8
63.5
TRANSPORTATION CAPACITY
24.4
32.7
WAREHOUSING PRICES
72.7
73.9
WAREHOUSING UTILIZATION
67.2
65.9
WAREHOUSING CAPACITY
42.2
48.9
INVENTORY COSTS
77.4
78.2
INVENTORY LEVELS
54.3
55.5
-
10.0
20.0
30.0
40.0
50.0
60.0
70.0
80.0
90.0
100.0
7/1-7/16
7/17-7/31

Delta	1.2	0.8	6.7	1.3	1.1	**8.3**	*5.3*	1.6	0.3
Significant?	No	No	No	No	No	**Yes**	*Marginal*	No	No

We also compare smaller firms (those with 0-999 employees, represented by maroon lines) to larger firms (those with 1,000 employees or more, represented by gold lines) in July. We observe unusual consistency this month, with only two significant differences between what had been our most divergent respondent groups over the last four months. The only significant differences in July are in the tighter Transportation Capacity (21.9 to 35.2) and faster Transportation Price expansion (90.4 to 83.3) reported by larger firms. Beyond this, metrics are largely similar, with both respondent groups reported the exact same levels of moderate Inventory Level expansion at 55.0. The differences are similarly negligible for Inventory Costs (76.3 for smaller to 77.6 for larger), Warehousing Utilization (66.7 to 65.7), Warehousing Prices (75.6 to 75.5) and Transportation Utilization (63.9 to 66.1). The only sizable – but non-statistically significant – difference was in Warehousing Capacity, which is contracting more quickly (42.9) for smaller than for more well-capitalized larger (49.0) firms where capacity is on the verge of breaking even.


LMI
64.3
TRANSPORTATION PRICES
90.4
83.3
TRANSPORTATION UTILIZATION
66.1
63.9
TRANSPORTATION CAPACITY
21.9
35.2
WAREHOUSING PRICES
75.5
75.6
WAREHOUSING UTILIZATION
65.7
66.7
WAREHOUSING CAPACITY
49.0
42.9
INVENTORY COSTS
77.6
76.3
INVENTORY LEVELS
55.0
55.0
- 10.0 20.0 30.0 40.0 50.0 60.0 70.0 80.0 90.0 100.0
1,000+ Employees
0-999 Employees

1,000+	55.0	77.6	49.0	65.7	75.5	**21.9**	66.1	*90.4*	63.1
Delta	0.0	1.2	6.2	1.0	0.1	**13.3**	2.2	*7.0*	1.2
Significant?	No	No	No	No	No	**Yes**	No	*Marginal*	No

The index scores for each of the eight components of the Logistics Managers' Index, as well as the overall index score, are presented in the table below. The rate of expansion for the overall index is 68.9, which is down (-2.2) from June's reading of 71.1 and is the slowest rate of overall expansion since April. The slowdown in expansion is driven by a reduction (-5.5) in the expansion of Inventory Levels (primarily driven by contraction Downstream). Despite this slowdown, Inventory Costs continue to increase (+1.1) to 77.0 which is their highest level in a year and likely reflects a combination of high costs due to tariffs as well as the stockpiling we observed over the last two readings. The stockpiling is evident in the continued contraction (-1.3) of Warehousing Capacity, which at 46.3 is at its tightest level since March of 2024. Transportation Capacity continues to tighten (-2.4) as well at 28.4, which is tied with April's reading as the second-fastest rate of contraction (behind only September of 2020's 23.8) in the history of the index. Transportation Prices dropped (-5.5) to 86.9, this is the lowest reading since the conflict with Iran began but is still a significant rate of expansion. Transportation Utilization made the biggest downward movement in July, dropping (-9.7) to 65.0 – a still robust rate of expansion but a clear shift from what had been its second-highest reading ever.

LMI®	68.9	71.1	-2.2	Expanding	Slower
Inventory Levels	55.0	60.5	-5.5	Expanding	Faster
Inventory Costs	77.0	75.9	+1.1	Expanding	Slower
Warehousing Capacity	46.3	47.5	-1.2	Contracting	Faster
Warehousing Utilization	66.1	69.4	-3.3	Expanding	Slower
Warehousing Prices	75.5	73.8	+1.7	Expanding	Faster
Transportation Capacity	28.4	30.8	-2.4	Contracting	Faster
Transportation Utilization	65.0	74.7	-9.7	Expanding	Slower
Transportation Prices	86.9	92.4	-5.5	Expanding	Slower
Aggregate Logistics Costs	239.5	242.1	-2.6	Expanding	Slower

Historic Logistics Managers' Index Scores

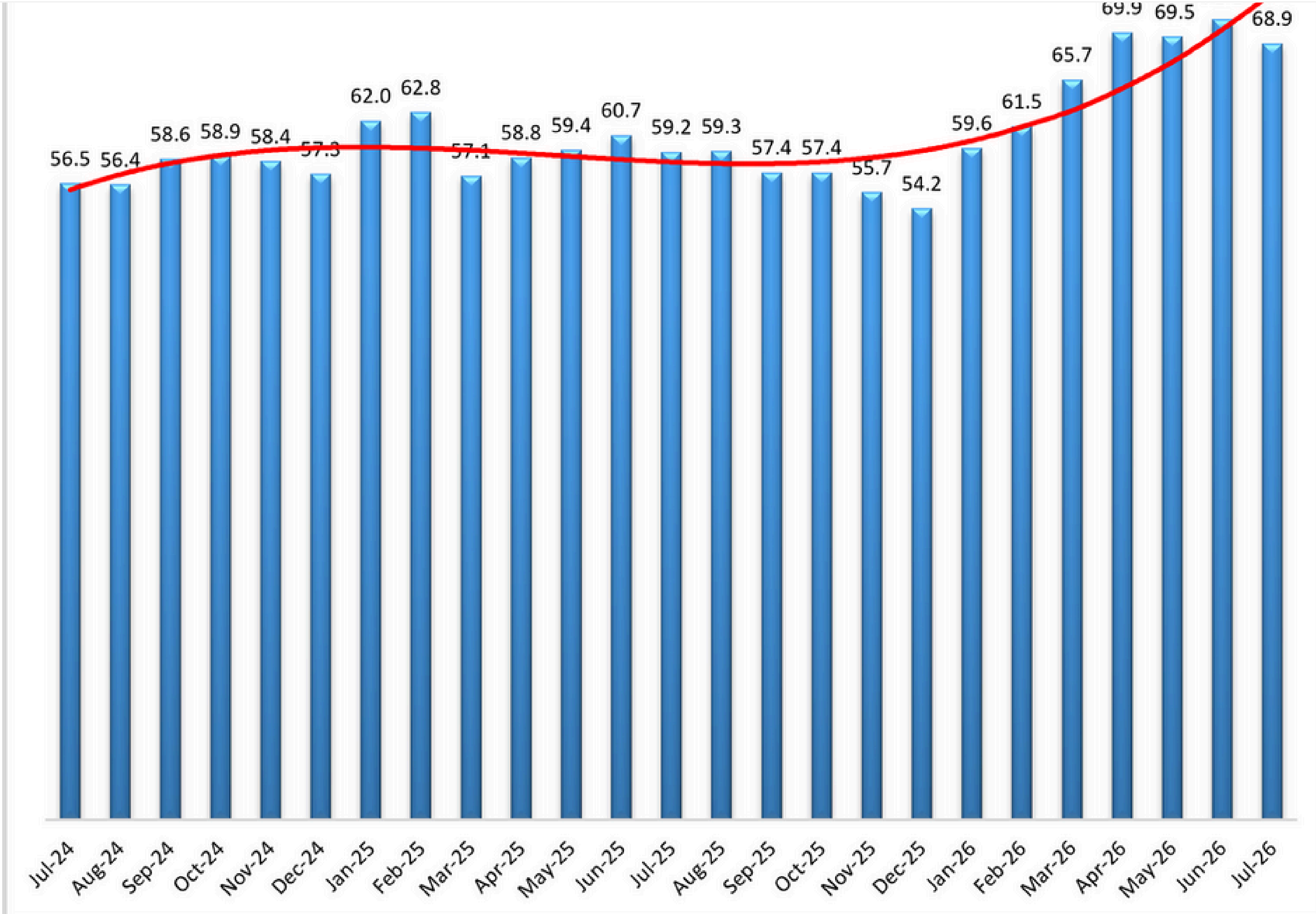
This period's along with prior readings from the last two years of the LMI are presented table below:

May ‘26	69.5	Low – 45.4
		Std. Dev – 7.57
Apr ‘26	69.9	
Mar ‘26	65.7	
Feb ‘26	61.5	
Jan ‘26	59.6	
Dec ‘25	54.2	
Nov ‘25	55.7	
Oct ‘25	57.4	
Sep ‘25	57.4	
Aug ‘25	59.3	
July ‘25	59.2	
June ‘25	60.7	
May ‘25	59.4	
Apr ‘25	58.8	
Mar ‘25	57.1	
Feb ‘25	62.8	
Jan ‘25	62.0	
Dec ‘24	57.3	
Nov ‘24	58.4	
Oct ‘24	58.9	

LMI®

The Logistics Manager's Index reads in at 68.9 in July, which is down (-2.2) from June's reading of 71.1 in June, which had been the fastest rate of expansion, and first reading about 70.0, since March of 2022. Despite this being the lowest level for the overall index since April, it is still much higher than the LMI readings from both one (+9.7) and two (+12.4) years ago. The index has clearly been impacted by the conflict with Iran, as the average of 69.0 in the five months since the war far outstrips the more modest average reading of 58.5 from the preceding 12 months.

When asked to predict what conditions will be over the next 12 months, respondents foresee a rate of expansion of 70.5, down very slightly (-0.1) from June's future prediction of 70.6. There is no significant difference in overall index expansion across the supply chain as Upstream respondents predict only slightly faster growth (69.6) than their Downstream counterparts (65.0).


56.5
56.4
58.6
58.9
58.4
57.3
62.0
62.8
57.1
58.8
59.4
60.7
59.2
59.3
57.4
57.4
55.7
54.2
59.6
61.5
65.7
69.9
69.5
68.9
Jul-24
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May-25
Jun-25
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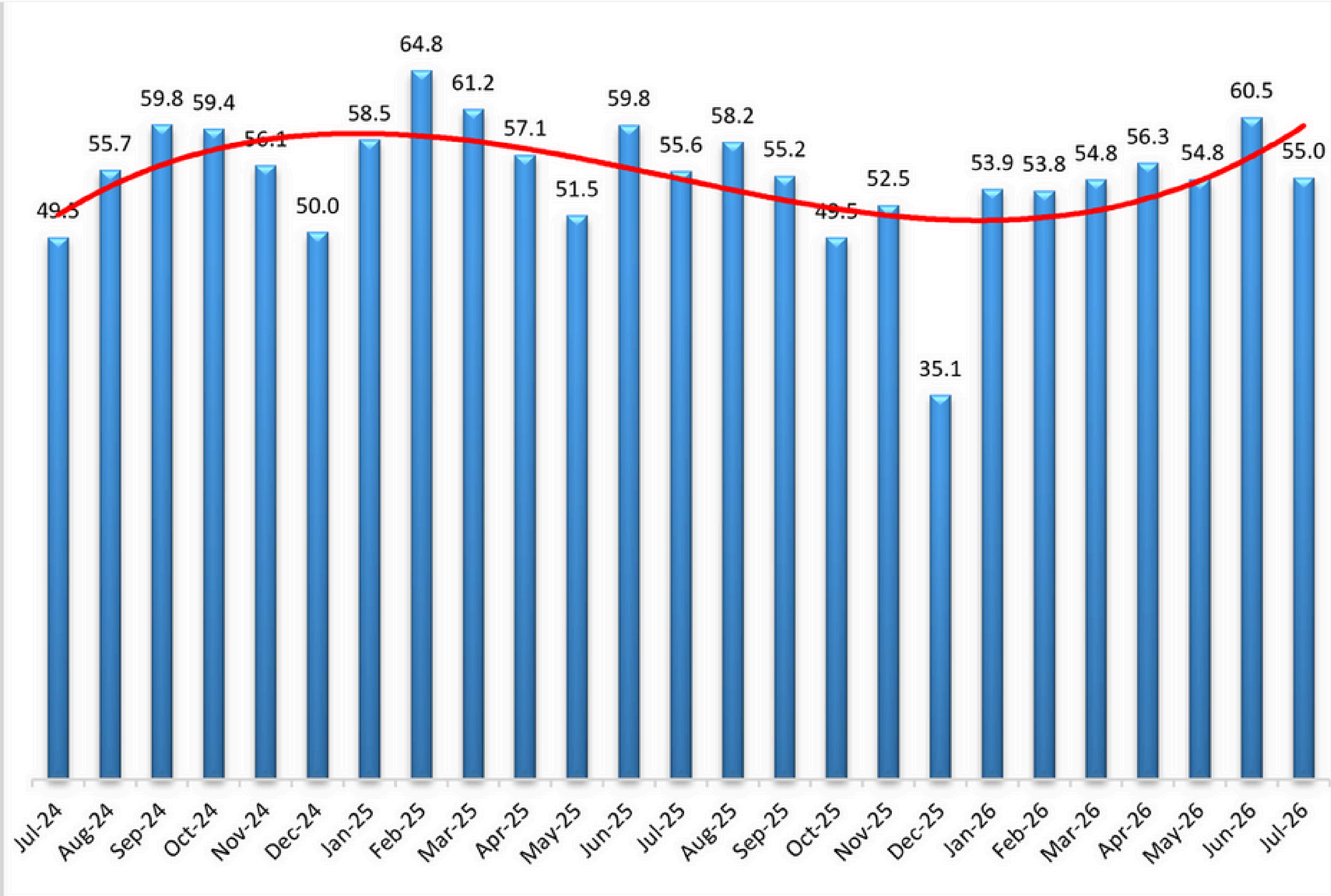
May-26
Jun-26
Jul-26

ago, down 0.6 points, but up 5.5 compared to two years ago. In the reverse of last month, Upstream (59.0) reported a moderate increase in Inventory Levels, while Downstream (46.3) reported contraction. Upstream is essentially unchanged month-over-month (-0.1), but Downstream is down (-19.7) significantly. There was almost no difference between early (54.3) and late (55.5) respondents, and no difference at all between large (55.0) and small (55.0) respondents.

Increased inventory strategies are reflected in forward-looking predictions. Future Inventory Levels growth is 64.4, down slightly -3.3) from June's reading of 67.7 but still indicating robust expansion. Both Upstream (66.4) and Downstream (59.3) are expecting inventories to increase at a steady rate over the next 12 months.


49.5
55.7
59.8
59.4
56.1
50.0
58.5
64.8
61.2
57.1
51.5
59.8
55.6
58.2
55.2
49.5
52.5
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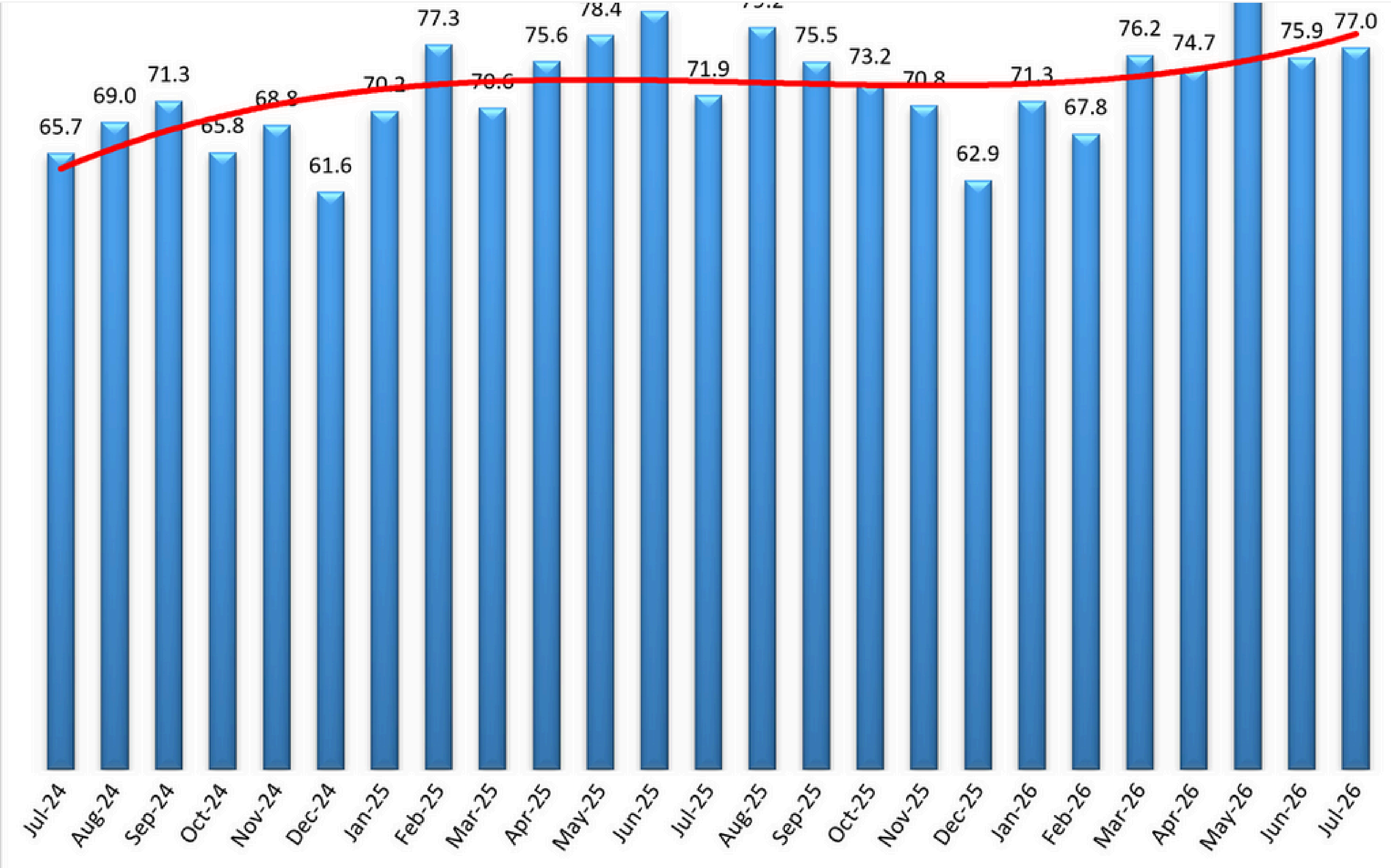
highlighting the continued expansion of relative inventory costs. Upstream (78.4) reported significant cost increases, as did Downstream (72.2). For Upstream, the Cost index is 19.4 points higher than the Level index. For Downstream, the Cost index is 25.9 points higher, suggesting that retailers are experiencing faster rates of relative price expansion than their Upstream counterparts. Similar to what was observed with Inventory Levels, there is almost no difference between early (77.3) and late (78.2) respondents, or between large (77.6) and small (76.3) respondents.

Predictions for future Inventory Cost growth is 77.6, up slightly (+07) from June's future prediction of 76.9. Upstream (84.7) and Downstream (73.4) expected large increases in Inventory Costs. Upstream (77.6) and Downstream (77.8) firms expect large, and very similar, increases in Inventory Costs. It is telling that that while both expect very similar increases in Inventory Costs, even though Downstream firms expect Inventory Levels to decline over the same period. This likely speaks to the increased cost burden retailers are bearing due to tariffs and inventory pull-forwards.


65.7
69.0
71.3
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68.8
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70.2
77.3
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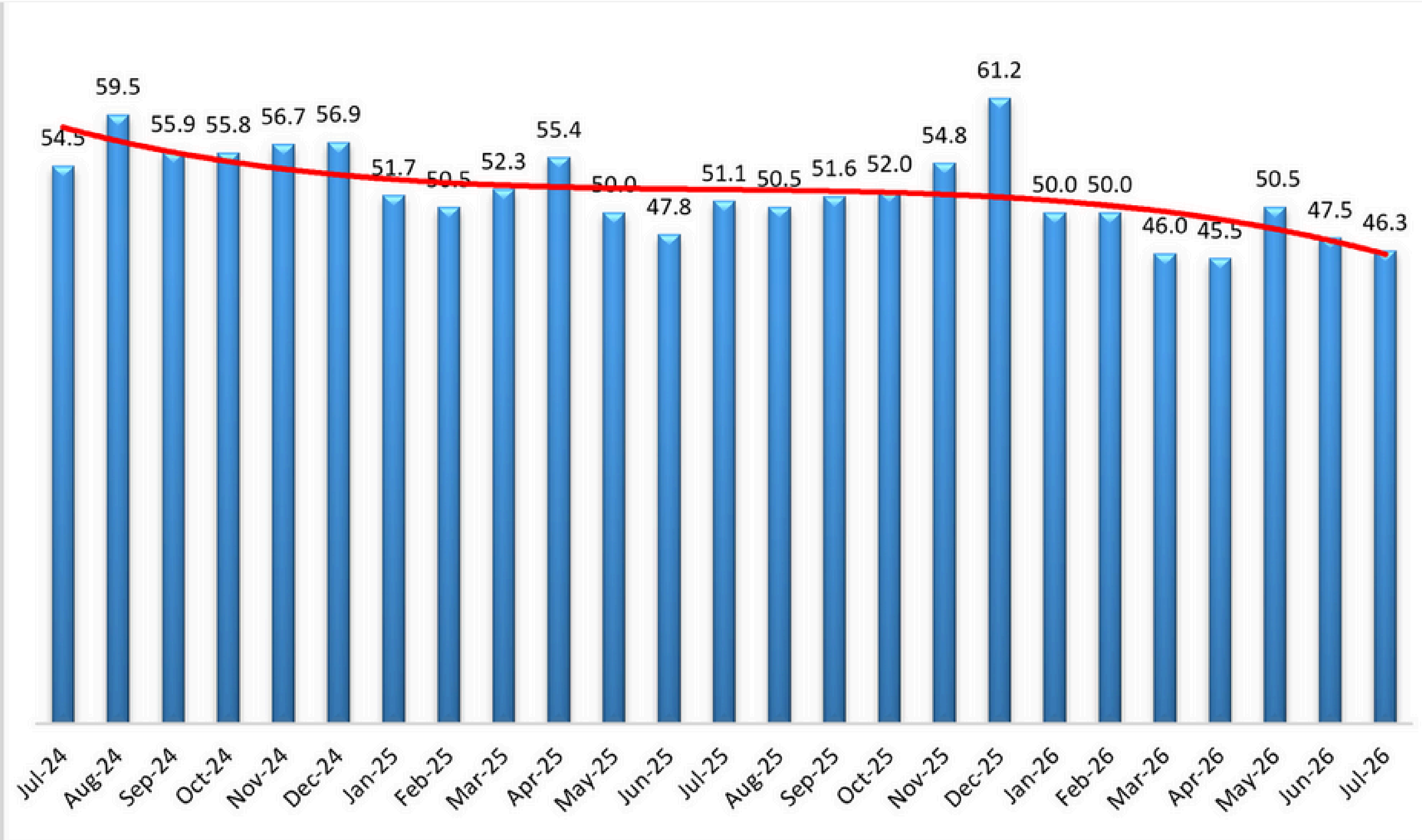
the month prior. This reading is down nearly [illegible] points from the reading one year ago and is also down by over 8.0 points from the reading two years ago. Warehousing Capacity has simultaneously eased Downstream but tightened Upstream, with a 15.0-point split between Upstream (42.4) and Downstream (54.4). This difference is statistically significant (p<.05), and notable as the Upstream value has now contracted for six consecutive months, highlighting the turnaround we've seen in this sector through 2026. Comparing the differences between small (<999 employees) and large (>999) employees we see that there is a 6.1-point difference between the two at 42.9 and 49.0. This 4.3-point split was not statistically significant (p >.1).

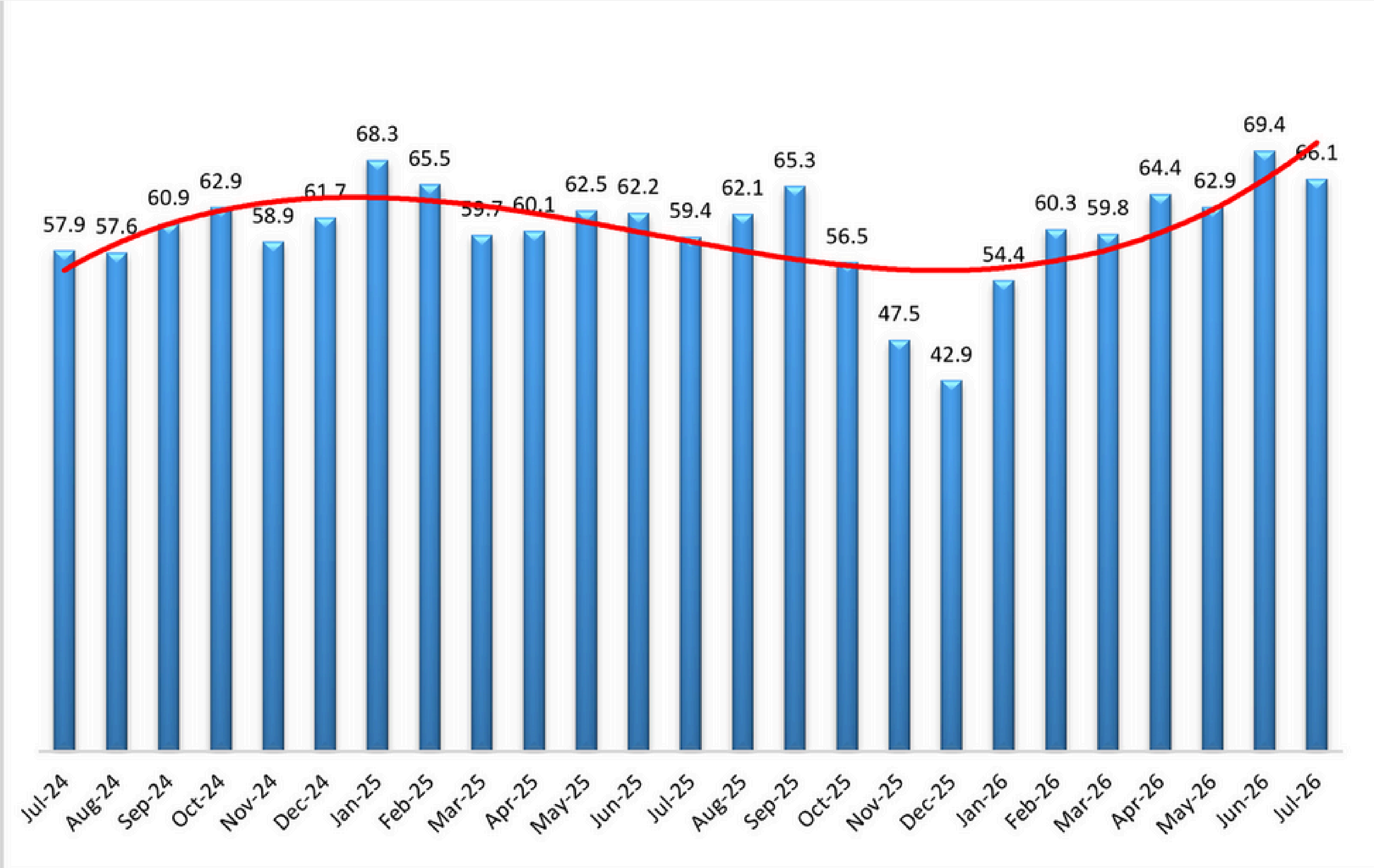
Exploring the future predictions for Warehousing Capacity, respondents continue to predict slight contraction at 49.5, down slightly (-0.1) from June's future prediction of 49.4. Respondents across the supply chain predict similar movements (or lack thereof), with Upstream and Downstream both expecting readings of 50.0 and no movement over the next 12 months[27].



Warehousing Utilization

Continuing the upward trend from last month, the Warehousing Utilization index read in at 66.1-points for the month of July 2026, reflecting a 3.2-point decrease from the month prior and remaining in robust small (<999 employees) and large (>999) employees we see that these values are 66.7 (unchanged) and 63.7 with both small and large firms remaining in expansionary territory for six months in a row.

Exploring the future predictions for Warehousing Utilization, respondents predict expansion at 74.2, up (+1.7) from June’s future prediction of 72.5. This increase in utilization would be consistent with the predicted tightness in capacity. Expectations for growth are consistent across the supply chain with future Upstream utilization (78.4) predicted to grow at a statistically significantly faster rate than Downstream (63.0).


57.9
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62.9
58.9
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42.9
54.4
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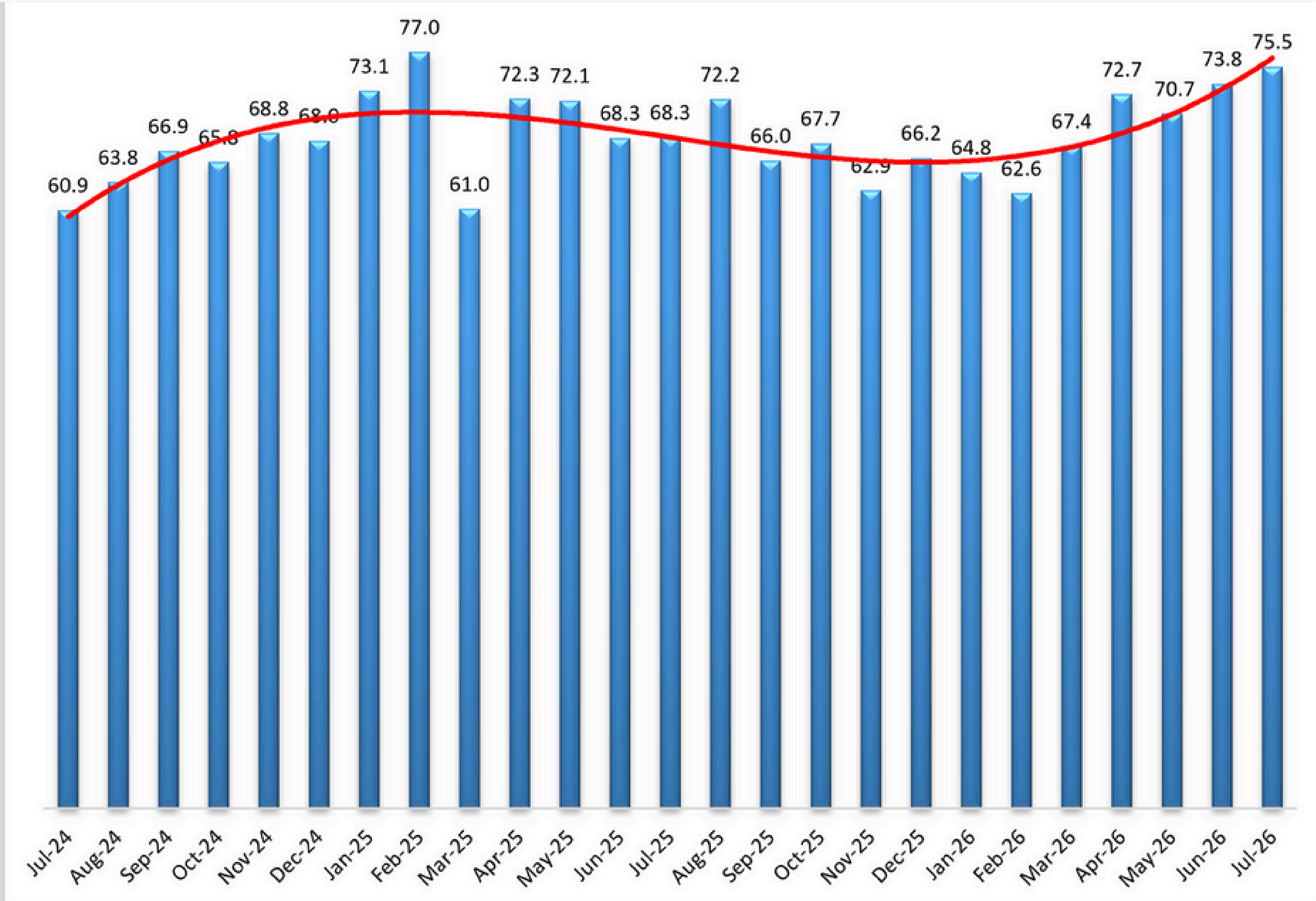
there was a 12.1-point difference between Upstream (78.8) and Downstream (66.7) which was statistically significant (p<.05). Comparing the differences between small (<999 employees) and large (>999) employees we see that these values are 75.6 and 75.5 reflecting a 0.1-point difference between the two which was not statistically significant (p>.1).

Finally, exploring the future predictions for Warehouse Price, respondents predict robust 75.5, up slightly (+1.8) from June's future prediction of 73.8, indicating a significant rate of price expansion. Expectations across the supply chain are elevated, with future Upstream prices (80.3) predicted to increase at a significantly faster rate than Downstream (63.0).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77.0
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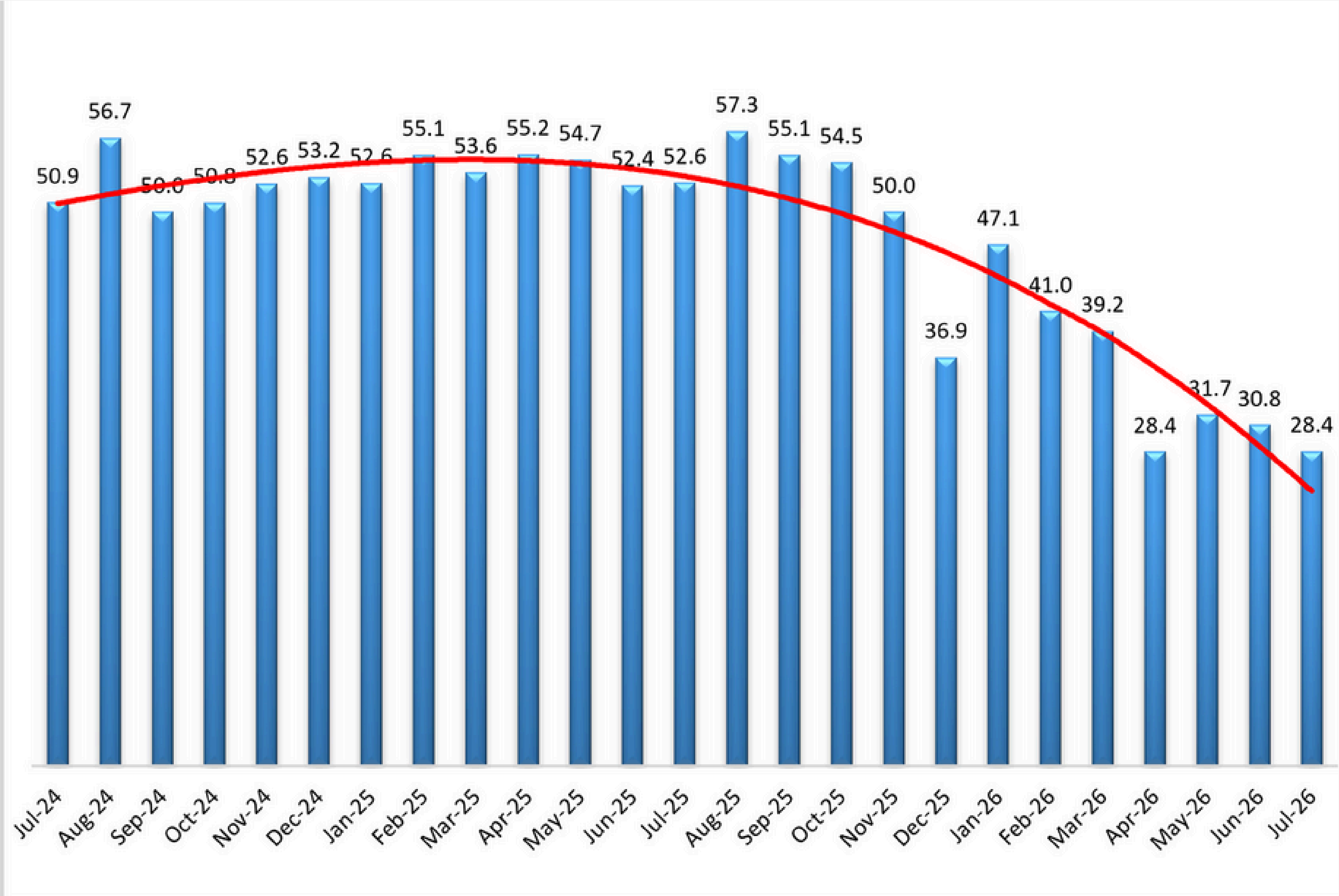
returns to the lowest level recorded in the last six years. While the Upstream Transportation Capacity index is at 26.6, the Downstream index is at 33.3, and the difference is not statistically significant. Hence, the contraction observed in Transportation Capacity remains relatively uniformly distributed across the US economy.

The future Transportation Capacity index also decreased 2 points and now indicates 40.4, representing continued expectations of capacity contraction for the next 12 months. While the future Upstream index is at 39.0, the Downstream Transportation Capacity index is at 45.0, and the difference is not statistically significant. As such, expectations of slight contraction in future Transportation Capacity remain relatively uniformly distributed both Upstream and Downstream across the US economy.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47.1
41.0
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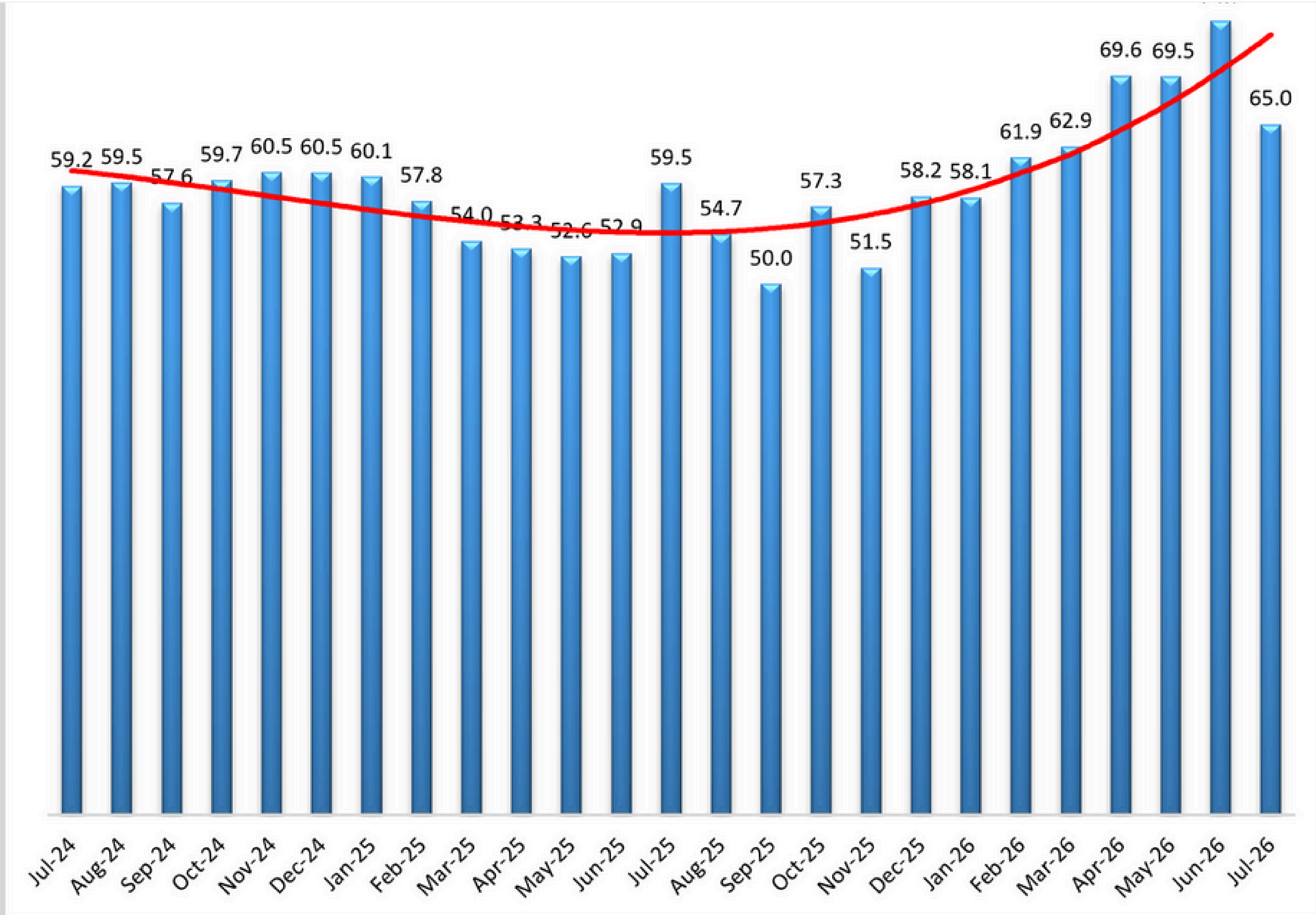
higher than the same time last year. The Downstream Transportation Utilization index is now at [illegible], while the Upstream index indicates 65.2, and the difference is not statistically significant. As such, despite the drop, Transportation Utilization is still increasing both Upstream and Downstream.

The future Transportation Utilization Index also decreased 4.0 points and is now indicating 71.8 points for the next 12 months. The future Upstream Transportation Utilization index is at 74.1 and the Downstream index at 65.5, but the difference is not statistically significant. As such expectations of increased Transportation Utilization are spread across supply chains.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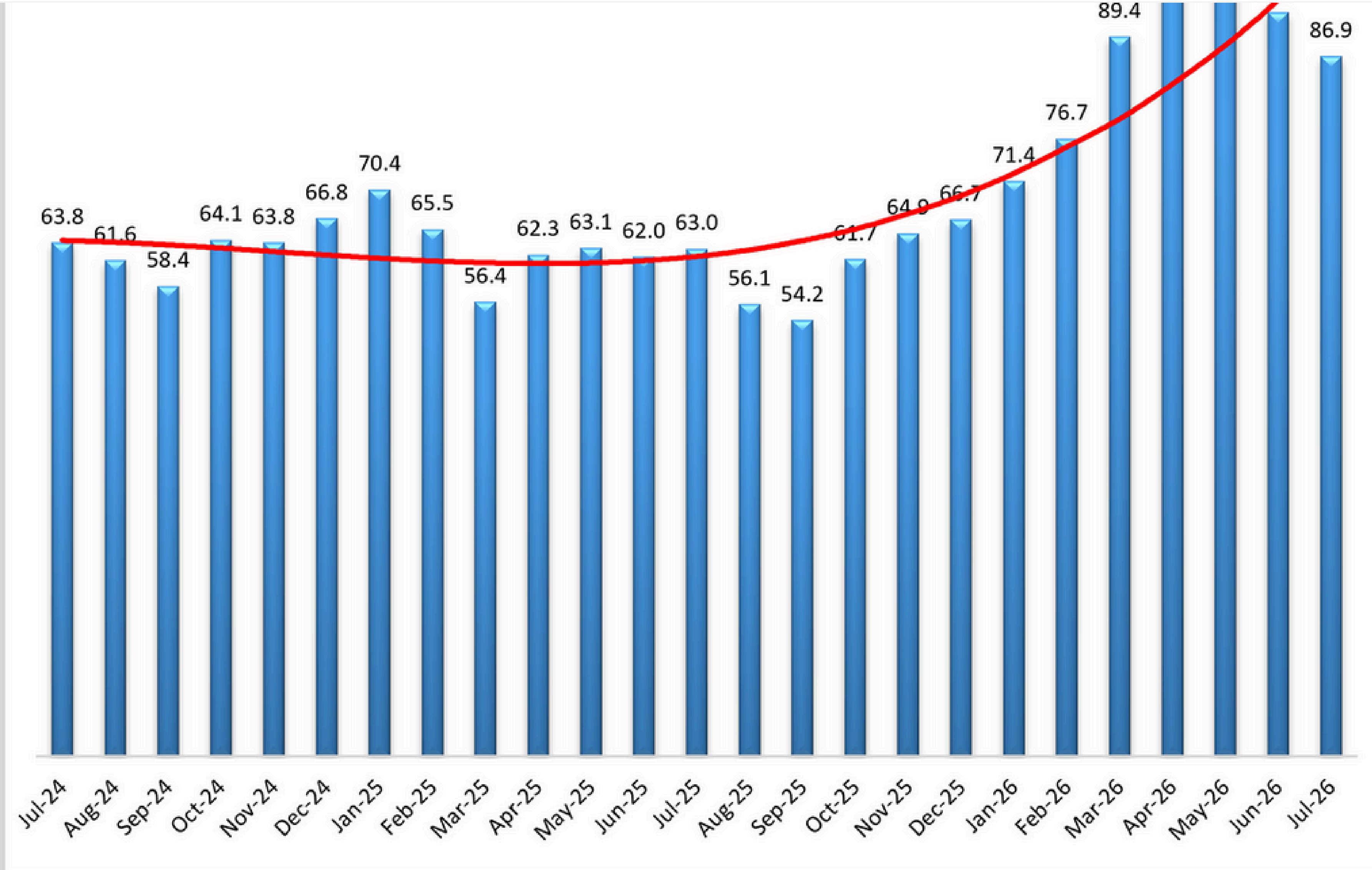
relatively elevated. While the Upstream Transportation Prices Index is at 88.6, the Downstream index is at 81.7, but the difference is not statistically significant. As such, it can be concluded that the inflationary pressure on Transportation Prices is still being felt across the US economy, both Downstream than Upstream.

The future index for Transportation Prices increased 2.2 points, indicating 89.2 and representing strong expectations of price increases for the next 12 months. The Upstream future Transportation Prices index is at 91.1 while the Downstream Transportation Prices index is at 83.3, but the difference is not statistically significant. Therefore, inflationary expectations in Transportation Prices remain strong across the US supply chains, both Upstream and Downstream.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stated within this release, regarding the individual company data collection procedures. The data should be compared to all other economic data sources when used in decision-making.

Data and Method of Presentation

Data for the Logistics Manager's Index is collected in a monthly survey of leading logistics professionals. The respondents are CSCMP members working at the director-level or above. Upper-level managers are preferable as they are more likely to have macro-level information on trends in Inventory, Warehousing *and* Transportation trends within their firm. Data is also collected from subscribers to both DC Velocity and Supply Chain Exchange as well. Respondents hail from firms working on all six continents, with the majority of them working at firms with annual revenues over a billion dollars. The industries represented in this respondent pool include, but are not limited to: Apparel, Automotive, Consumer Goods, Electronics, Food & Drug, Home Furnishings, Logistics, Shipping & Transportation, and Warehousing.

Respondents are asked to identify the monthly change across each of the eight metrics collected in this survey (Inventory Levels, Inventory Costs, Warehousing Capacity, Warehousing Utilization, Warehousing Prices, Transportation Capacity, Transportation Utilization, and Transportation Prices). In addition, they also forecast future trends for each metric ranging over the next 12 months. The raw data is then analyzed using a diffusion index. Diffusion Indexes measure how widely something is diffused or spread across a group. The Bureau of Labor Statistics has been using a diffusion index for the Current Employment Statics program since 1974, and the Institute for Supply Management (ISM) has been using a diffusion index to compute the Purchasing Managers Index since 1948. The ISM Index of New Orders is considered a Leading Economic Indicator.

PU = Percentage of respondents saying the category is Unchanged,
PI = Percentage of respondents saying the category is Increasing,
Diffusion Index = 0.0 * PD + 0.5 * PU + 1.0 * PI

For example, if 25 say the category is declining, 38 say it is unchanged, and 37 say it is increasing, we would calculate an index value of 0*0.25 + 0.5*0.38 + 1.0*0.37 = 0 + 0.19 + 0.37 = 0.56, and the index is increasing overall. For an index value above 0.5 indicates the category is increasing, a value below 0.5 indicates it is decreasing, and a value of 0.5 means the category is unchanged. When a full year's worth of data has been collected, adjustments will be made for seasonal factors as well.

Logistics Managers Index

About The Logistics Manager's Index®

The Logistics Manager's Index (LMI) is a joint project between researchers from Arizona State University,

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